

These three states together account for more than 40% of factory jobs in the organised sector.

When it comes to total investment, Gujarat has sprinted ahead of competition, thanks to mega investments in petroleum refinery and related projects by Reliance Industries, renewable energy related manufacturing by Adani Group, and automobile manufacturing by Tata and Maruti Suzuki, among others. In recent years, the state has also attracted investment in semiconductor facilities.

This is a result of persistent efforts made to attract investors over the last two decades, even persuading companies to drop plans to invest elsewhere. It began under Narendra Modi as the chief minister of the state when he organised the first Vibrant Gujarat Global Summit in September 2003, as an initiative to rebuild and rebrand Gujarat. Modi's counterpart in undivided Andhra Pradesh, N. Chandrababu Naidu, was focused on making the Hyderabad-Secunderabad belt into a global technology hub.

What's clear is that investment decisions of businesses are increasingly influenced by persuasive skills and deals offered by states. This required chief ministers to don the hat of Chief Marketing Officer and Chief Executive Officer of their state. Andhra Pradesh CM Naidu has often referred to himself as a CEO of the state and functioned as one since the late 1990s.

In many instances, chief ministers reinvented under compulsion, rather than by a desire, to be more than a politician. Changing demographics, rising aspirations of the youth and their demand for jobs, state's fiscal condition, and the need to improve rankings on various indicators exerted pressure. The Centre's Make in India initia-

THE CHANGE IN NO. OF FACTORIES IN TOP 5 STATES SINCE FY14

2013-14	2018-19	2023-24
Tamil Nadu	Tamil Nadu	Tamil Nadu
37,378	38,131	40,121
Maharashtra	Gujarat	Gujarat
29,123	26,842	33,311
Gujarat	Maharashtra	Maharashtra
22,876	25,972	26,539
Andhra Pradesh	Andhra Pradesh	Uttar Pradesh
15,719	16,739	22,141
Uttar Pradesh	Uttar Pradesh	Andhra Pradesh
14,463	15,854	16,011

NOTE FIGURES REPRESENT NUMBER OF FACTORIES IN EACH STATE
SOURCE ANNUAL SURVEY OF INDUSTRIES, MoSPI

tive, and more lately, the Production Linked Incentive scheme also contributed to the rise of competition among states to attract investment.

Most states rolled out red carpet, offering monetary and non-monetary sops. They ramped up infrastructure and logistics or gave subsidies to incentivise investors. Single window and time-bound clearances became a norm in some states as restrictive local rules and regulations were struck down. Chief ministers and other ministers who spoke to *Business Today* for the India@100 special issue emphasised ease of doing business and strengthening infrastructure among the key measures they implemented to create conditions to attract investors.

Highlighting the measures taken

by the state, Gujarat Chief Minister Bhupendra Patel said: "We have strengthened ease of doing business through single-window clearance mechanisms, simplified regulatory processes and decriminalised more than 500 provisions under the Gujarat Jan Vishwas (Amendment of Provisions) Act, 2025. Sector-specific industrial parks through GIDC, early adoption of public-private partnerships for ports and infrastructure, and reliable power supply have further enhanced the state's competitiveness."

States are making conscious efforts to widen the spread of industrial units, with stress on developing regions that have lagged until now. Maharashtra has proposed dedicated projects for regions such as steel city in Gadchiroli and Chan-